

The costs and benefits of inflation



The inflation crisis that hit Zimbabwe around 2008 reached an estimated monthly peak of 80 billion per cent, and eventually forced an abandonment of the currency.

If all prices and incomes rise by 3 per cent then no one is made worse off, so why do people say that inflation is a bad thing? Inflation erodes the value of money, so one cost of inflation is that you tend to hold less cash and have to make more frequent trips to the bank. Firms also have to bear the costs of repricing their goods. If they do this at different times, the relative prices of goods change, and since markets work by responding to *relative* prices, inflation can distort them and upset efficiency. Another major cost is uncertainty: when inflation is high it also tends to be volatile, which makes investment planning much more difficult. All of these costs may be small when inflation is low and stable, but they can cripple an economy during hyperinflation (see [Hyperinflation](#)).

However, inflation can be a sign of a healthy, growing economy, and is often part of the process of recovery from recession. By reducing real interest rates and real wages it helps to stimulate investment and demand for labour by employers.